
SiyaBusa ERP

INVESTOR & PARTNER DOCUMENTATION

INVESTOR FAQ

VERSION 2.0 | APRIL 2026

COMPANY

Masaphokati Technologies (Pty) Ltd

CLASSIFICATION

Confidential

WE RULE. WE GOVERN. WE EMPOWER.

📖 **ANTICIPATED QUESTIONS & ANSWERS** — A comprehensive collection of anticipated questions regarding the business model, technology stack, financial projections, and exit strategy.

THE BUSINESS

Q: What exactly have you built?

SiyaBusa ERP is a complete, production-ready enterprise resource planning platform with:

- **17+ fully functional modules** (Sales, Purchase, Inventory, Manufacturing, HR, Finance, etc.)
- **400+ REST API endpoints** deployed and live
- **150+ database tables** with proper relationships
- **9 AI-powered assistants** for natural language queries
- **6 industry vertical modules** (Healthcare, Mining, Manufacturing, Property, Construction, Professional Services)
- Native South African compliance (SARS, BCEA, POPIA, B-BBEE)

The system is deployed on **Vultr VPS (Johannesburg, South Africa)** and accessible for demonstration.

Q: Who is your target customer?

South African mid-market businesses with:

- Revenue: R10M – R500M annually
- Employees: 50-500 people
- Pain point: Outgrown basic accounting (Xero, QuickBooks, Sage) but priced out of enterprise ERP (SAP, Oracle, Microsoft)
- Need: Full ERP capabilities — not just accounting, but manufacturing, warehouse, HR, compliance

Market size: **60,000+ businesses** in South Africa alone.

Q: What makes you different from enterprise ERP vendors?

Factor	Global Vendors	SiyaBusa
Pricing	R2,500-R5,000/user	R299-R600/user (60-90% less)
SA Compliance	R500K-R2M+ localization project	Native, built-in
Implementation	6-12 months	2-4 weeks
Modules	Pay per module	Industry-tailored suite
AI Assistant	None or limited	9 specialized agents

Founding Member customers get all modules included at R299/user. Standard pricing from R600/user for new customers from Q3 2026.

Q: Why would anyone use a startup ERP over SAP?

- **Price:** A 100-user SAP implementation costs R150K+/month plus R1–2M setup. We're R30K–R60K/month total with minimal setup fees.
- **Speed:** SAP implementations take 6–18 months. We implement in 4–8 weeks because SA compliance is already built in.
- **Fit:** SAP is designed for R1B+ enterprises. Mid-market businesses (R10M–R500M) are underserved by their model.

FINANCIALS

Q: What are the investment terms?

Term	Detail
Investment Amount	R2,000,000 (Seed Round)
Pre-Money Valuation	R10,000,000
Post-Money Valuation	R12,000,000
Equity Offered	16.67% (20,000,000 shares @ R0.10)
Break-even	5-6 Founding Member customers (operational cost break-even)

Investment Structure Options:

Option	Instrument	Amount	Key Terms
Option A	SAFE Note	R150,000–R500,000	Valuation Cap: R15M, 20% discount, pro-rata rights
Option B	Equity (Direct)	R500,000+	Pre-money: R10M, price R0.10/share
Option C	Bridge Loan	R200,000	12 months, 0%, convert to equity at next round (20% discount)

Q: When will you be profitable?

Timeline	Milestone
Apr–Jun 2026	First paying Founding Members (~R13K MRR)
May 2026	Operational break-even (5–6 customers @ R299/user × 15 users)
Q3 2026	R50K+ MRR, team expansion
Q4 2026	R100K+ MRR — cash flow improving
2027	EBITDA near break-even at company scale
2028	R3.9M EBITDA, 14% margin

At R299/user × 15 users = R4,485/month, we need just 5–6 small customers to cover operational costs (Vultr VPS + minimal admin).

Q: How do I get my money back? (Exit Strategy)

Primary Exit: JSE AltX Listing (Target Q2 2029)

Milestone	Timeline	What Happens
Seed Round	Q1 2026	You invest, receive up to 16.67% equity
Series A	Q1 2028	New investors at R80M pre-money valuation
Pre-IPO	Q4 2028	Final private round, 100+ shareholders
AltX Listing	Q2 2029	Your shares become tradeable

Return Potential (Realistic Scenarios)

Scenario	Valuation	Seed Value (post-dilution)	Return
Base Case (AltX R400M)	R400M	~R20.8M (after dilution)	~10x
Upside (AltX R600M)	R600M	~R33M	~16x
Downside (R200M)	R200M	~R10.4M	~5x

Q: What's your revenue model?

Platform + Per-User subscription with EVERYTHING INCLUDED.

Plan	Per User	Target Customers
Founding Member	R299/user	First 25 customers (all-inclusive, 3-year lock-in)
Starter (from Q3 2026)	R600/user	Small businesses 5–15 users
Professional	R570/user	Growing SMEs 10–30 users
Enterprise	R540/user	Medium businesses 25+ users

Q: Why don't you have revenue yet?

Strategic choice. We're following a "land and expand" strategy:

- **Build dependency first:** Companies that use a system for 6+ months don't switch easily
- **Word-of-mouth:** Free beta creates advocates who recruit paying customers
- **Product-market fit:** Beta feedback ensures we're building what customers actually need
- **Case studies:** We need success stories before mass marketing

This is how Slack, Zoom, and many B2B SaaS companies grew.

Q: What happens if you don't raise funds?

We continue on a slower path:

- Vultr VPS free/low tier limits capacity to ~5 customers
- No marketing means organic-only growth (slower)
- No dedicated support means founder-only operations

The product exists. The opportunity exists. Capital accelerates the timeline.

PRODUCT & TECHNOLOGY

Q: Is the product actually finished?

The platform is production-ready with 17+ complete modules. Status breakdown:

Complete	In Progress	Planned
All 17+ core modules	SARS API integration (awaiting SARS approval)	Mobile apps
400+ API endpoints	Performance optimization	Additional integrations
Multi-tenant architecture	UI polish	Advanced analytics
9 AI assistants		

We can onboard customers today. Remaining work is enhancement, not core functionality.

Q: What technology stack are you using?

Layer	Technology	Why
Frontend	React 18, TypeScript, Vite	Modern, fast, maintainable
Backend	Node.js, Express, TypeScript	Scalable, large ecosystem
Database	PostgreSQL (150+ tables)	Enterprise-grade, reliable
Cache	Redis	High-performance
Cloud	Vultr VPS (Ubuntu, Johannesburg)	Cost-efficient, SA-hosted
AI	Multiple LLM integrations	Best-in-class language models

Q: Can I see a demo?

Absolutely. We have a live demo environment. Contact us to schedule a personalized walkthrough of:

- The modules relevant to your interests
- The AI assistant in action
- The SA compliance features (SARS, PAYE, etc.)

TEAM & EXECUTION**Q: Who is on the team?****Current:**

- **Sibusiso Mavuso**, Founder/Developer — 18 months building this platform
- No external employees (lean operation)

Post-funding:

- Sales Representatives (2) — Q2 2026
- Customer Success Manager — Q3 2026
- Marketing Manager — Q3 2026
- Support Engineer — Q4 2026

Intentionally lean. No fancy salaries — maximum capital efficiency.

Q: Why should we trust a small team to compete with enterprise vendors?

- Enterprise vendors make R200K+ per customer. They don't pursue R10K customers.
- We've built equivalent functionality for this specific market.
- Our compliance advantage (18 months of SA-specific development) is a moat.

Every major software company was a startup once. Market gaps get filled by those who see them.

Q: What if a big player copies you?

- **SA Compliance Depth:** 18 months of SARS, BCEA, POPIA-specific development isn't easily replicated.
- **Speed to Market:** By the time SAP decides to build SA-specific features, we'll have 100+ customers and deep market knowledge.
- **Price Position:** Global vendors can't profitably serve R10K-R30K/month customers. Their cost structure doesn't allow it.

MARKET & COMPETITION

Q: How do you know there's demand?

- **Competitor Pricing:** SAP, Oracle charge R50K–R200K/month — someone is paying
- **Market Research:** 60,000+ mid-market SA businesses (Stats SA Business Register 2024)
- **Anecdotal Validation:** Every business owner we've spoken to has this pain point
- **Global Trends:** Cloud ERP growing 18% YoY (IDC South Africa IT Spending Forecast)

Claim	Source	How to Verify
60,000+ mid-market businesses	Stats SA Business Register 2024	www.statssa.gov.za
R10M–R500M revenue segment	SARS Company Income Tax Statistics	www.sars.gov.za → Tax Statistics
18% YoY software growth	IDC South Africa IT Spending Guide 2024	www.idc.com

Q: What's your competitive moat?

Moat	Explanation
SA Compliance	18 months of PAYE, UIF, SDL, BCEA, SARS development
Price Point	60–90% below global vendors with sustainable margins
Implementation Speed	4–8 weeks vs. 6–12 months
Local Knowledge	Understanding of SA business practices, regulations, culture
AI Integration	9 specialized agents — ahead of most competitors

Q: What are the risks?

Risk	Mitigation
Customer acquisition slower than expected	Conservative projections, 12-month runway
Global vendor enters market aggressively	Our price point makes this unprofitable for them
Technical scaling issues	Cloud-native architecture designed for scale
Key person dependency	Documentation, code quality, eventual team expansion
Economic downturn	ERP is often countercyclical (efficiency focus)

INVESTMENT TERMS**Q: What are you offering?**

Term	Detail
Instrument	SAFE (Simple Agreement for Future Equity) or Direct Equity
Seed Amount	R2,000,000
Valuation Cap (SAFE)	R15,000,000
Discount (SAFE)	20%
Equity Price (Direct)	R0.10/share, R10M pre-money

Q: Why a SAFE instead of equity?

- **Faster closing:** weeks, not months
- **Lower legal costs:** Standard instrument (YC-style)
- **Converts at next priced round** with 20% discount advantage
- **Valuation cap protection:** R15M cap protects your upside

Q: What's the expected return?

Scenario	3-Year ARR	Valuation (5x ARR)	SAFE ROI (est.)
Conservative	R24M	R120M	~40x
Base Case	R36M	R180M	~60x
Optimistic	R60M	R300M	~100x

ERP companies typically valued at 5-10x ARR. We've used 5x conservatively.

Q: When is the next funding round?

Series A in 18-24 months, contingent on:

- R3M+ ARR (40+ customers at standard pricing)
- 50+ paying customers
- Proven unit economics
- Repeatable sales process

NEXT STEPS**Q: How do I proceed if interested?**

1. **Request demo:** See the product in action (live environment)
2. **Due diligence:** We'll provide technical access, financials, customer pipeline
3. **Term discussion:** Negotiate specifics if needed

4. **Documentation:** Sign SAFE or Subscription Agreement, wire funds

5. **Onboard:** Monthly reporting begins immediately

Q: Who else is investing?

Currently seeking our first institutional/angel investors. We've bootstrapped to this point — all R3.5M in development value is sweat equity from the founder.

Q: Can I speak to potential customers?

Yes. We can introduce you to beta partner candidates who have expressed interest. Their feedback validates market demand.

Questions we didn't anticipate? Ask us directly.

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